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Monterey County - Law may boost workforce housing - AB 787 provides incentives to jurisdictions to convert existing housing units into deed-restricted affordable ones

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SALINAS >> A new state law focuses on a way to boost the supply of affordable workforce housing by incentivizing local jurisdictions to convert existing housing into deed-restricted units in exchange for credit toward annual housing goals.

The author of AB 787, Assemblyman Jesse Gabriel, said too many communities across California have become unaffordable for ordinary folks.

“This legislation will help to ensure that working people, including the nurses, teachers, firefighters, and grocery workers who’ve helped us through the pandemic, can afford to live in the communities where they work and serve,” said Gabriel, D-Woodland Hills, in a press release.

In an effort to address the ongoing affordable housing crisis, AB 787 will provide incentives to local governments to increase the supply of affordable and moderate-income workforce housing by authorizing jurisdictions to receive credit toward annual Regional Housing Needs Allocation goals if they convert existing housing units into deed-restricted affordable housing for working families.

For more than 50 years, the state has required all local governments to adequately plan to meet the housing needs of everyone in the community, including Monterey County cities and the county itself. Local governments work to meet the requirements by adopting housing plans as part of their general plan, which is also required by the state.

General plans are blueprints for the growth and development of cities and counties, including land use, transportation, conservation, noise, open space, safety and housing.

Monterey County has long been a region with a housing affordability issue.

In September, the median home price in Monterey County was $825,000. Purchasing a home at that price, a person would need to earn $121,101 annually before taxes and most likely come up with a 20% down payment for a mortgage that would probably be about $2,872 per month.

According to figures from the U.S. Census Bureau, the median household income in Monterey County is $71,015.

Households considered low-income, 80% of median income, earn $56,950 annually and very-low income households, 50% of median, earn $35,600. Of households in Monterey County, 12.6% live in poverty.

Housing preservation helps ensure the ongoing availability of quality, affordable housing at all income levels. According to data from the California Department of Housing and Community Development, only 15 of 539 jurisdictions in California are on pace to meet their targets for an adequate supply of moderate-income housing.

AB 787 purportedly addresses the housing shortage by providing jurisdictions an option to claim Regional Housing Needs Allocation credits in those jurisdictions’ annual progress reporting for converting market-rate units and preserving them as moderate-income units.

Acquiring and converting existing units is said to be an important complement to any production strategy and offers a much faster, less expensive and more efficient way to increase middle-income housing in communities

across the state, said Gabriel.

Ben Metcalf, managing director of the Terner Center for Housing Innovation at UC Berkeley and the former director of the California Department of Housing and Community Development, said that close to half of California renters are paying more than 30% of their income in housing costs.

Metcalf said that finding ways to convert existing multi-family properties to enable long-term rents that are affordable to low- and moderate-income households for the long term is critical for those California families struggling to make rent at the first of the month.

Monterey Bay Economic Partnership Housing Program Manager Matt Huerta said that the organization has not yet done a detailed review of AB 787 but the organization will be “sure to track developments that take advantage of this new policy in our region.”

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